

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-16

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

COSCO SHIPPING LINES CO., LTD.

Respondent and Third-Party Complainant,

v.

SAMSUNG ELECTRONICS COMPANY, LTD., SAMSUNG SDS GLOBAL SCL ASIA
PACIFIC PTE LTD, AND SAMSUNG ELECTRONICS LOGITECH COMPANY, LIMITED

Third-Party Respondents.

**THIRD-PARTY RESPONDENT SAMSUNG ELECTRONICS CO., LTD, s/h/a
SAMSUNG ELECTRONICS COMPANY, LTD.'s REPLY TO RESPONDENT'S
OPPOSITION TO THE MOTION TO DISMISS THE THIRD-PARTY COMPLAINT**

HOHENSTEIN & PARKINSON, LLP
James H. Hohenstein
385 South End Avenue, #5K
New York, NY 10280
Telephone: (917) 873-2528
jim.hohenstein@hplawnyc.com

*Counsel to Samsung Electronics Co., Ltd.,
s/h/a Samsung Electronics Company, Ltd..*

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PRELIMINARY STATEMENT

Third-Party Respondent Samsung Electronics Co., Ltd., sued here as Samsung Electronics Company, Ltd. (“SEC”), by its undersigned attorneys, respectfully submits this Reply to Third-Party Complainant COSCO Shipping Lines Co., Ltd.’s (“COSCO”) Opposition (“COSCO Opp.”)(Doc. No. 72) to SEC’s Motion to Dismiss the Third-Party Complaint for failure to state a claim upon which relief can be granted (“SEC Mot.”)(Doc. 65).

INTRODUCTION

The procedural background of this matter is set forth in the SEC Motion which also details the fundamental deficiencies of the Third-Party Complaint. COSCO’s Opposition does nothing to cure those deficiencies; rather, it continues to rely on upon non-specific and wholly unsupported claims that a group of “Samsung entities” acted together “via a scheme of deception and concealment” to obtain reduced rates and charges in violation of 46 U.S.C. §41102(a). This group, including SEC, SDS, Logitech and SEA (SEC incorporates the abbreviations delineated in its Motion) “carried out their scheme in tandem,” and, COSCO repeatedly claims, each company acted as agent for the others to carry out the “scheme.” (COSCO Opp. at 1, 7 and 22.)

COSCO’s sweeping and unfounded allegations bring to mind an apt quotation from the U.S. Court of Appeals for the First Circuit: “Because courts occupy a special place in our democracy, they must be especially careful not to succumb to the merchants of conjecture. Consequently, they must deal in facts as opposed to suspicions, and in plausible inferences as opposed to speculative suppositions.” *National Amusements, Inc. v. Town of Dedham*, 43 F.3d 731, 744 (1st Cir. 1995). Although *National Amusements* concerned a summary judgment motion (*Id.* at 749), the logic of the court’s observation applies with equal force here.

BACKGROUND

I. Factual Allegations¹

COSCO's extensive recitation of what it alleges are the facts of the case is unnecessary, and for the most part unhelpful, in determining whether those alleged facts state a plausible claim for relief under 46 U.S.C. § 41102(a). SEC will limit its discussion in this section to actual factual allegations.

The RFQs and Service Contracts speak for themselves. And the sequence of events in this matter is straightforward. SEC and COSCO allegedly negotiated service contracts in 2021 and 2022 (TPC ¶¶ 9–11). After negotiations certain service contracts were allegedly signed by Third-Party Respondents SDS and Logitech (TPC ¶¶ 13–19) and SEC allegedly completed a CNT application (TPC ¶ 35.) Under the terms of the alleged service contracts, goods transported by COSCO were consigned to Complainant SEA (TPC ¶ 21). Certain charges incurred in the United States for demurrage, detention and other costs were assessed by COSCO and paid by SEA albeit SEA declined to pay certain invoices (TPC ¶¶ 49 - 53).² Beginning in 2022, SEA complained to

¹ For purposes of the motion, the Presiding Officer shall accept COSCO's factual allegations as true. However, the Presiding Officer need not accept as true legal conclusions which are not supported by factual allegations. *See Maher Terminals, LLC. v. the Port Authority of New York and New Jersey*, FMC Dkt. No. 12-02, 2015 WL 9426189, *12 (FMC Dec. 18, 2015). That said, if this matter proceeds, SEC intends to vigorously contest the validity of COSCO's factual allegations.

² COSCO cites *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services, Ltd.*, Dkt. 22-30, Doc. No. 60 (ALJ, Initial Decision Apr. 22, 2025) and *Samsung Electronics America, Inc. v. SM Line Corp.*, Dkt. 23-01, Doc. No. 148 (ALJ, Initial Decision May 28, 2025) in support of the plausibility of its allegations in "light of findings that Samsung entity SEA was responsible for charges incurred on shipments by other carriers." (COSCO Opp. at 6 n.3). However, what COSCO does not mention are the respective ALJs' findings that engaging the CNTs in those matters were the responsibility of the ocean carriers: "Under store-door terms...the ocean common carrier is responsible for the inland movement of the shipped containers..." *ZIM*, Doc. No. 60 at 13 (FF #24); and "A house trucker is hired by the steamship line. A CNT is similar in that it is contracted, paid and receives work orders from the steamship line..." *SM Line*, Doc. 148 at 17

COSCO of demurrage and detention charges abuses. Communications were exchanged back and forth between COSCO and SEA to no avail (*Id.*) and in 2024 SEA filed the action herein against COSCO. In response, COSCO filed its Counterclaim against SEA and the Third-Party Complaint against SEC, SDS and Logitech.

II. Conclusory and Absent Allegations

COSCO has failed to plead sufficient factual allegations to state a claim against SEC; its Opposition to the Motion to Dismiss does not cure that deficiency. COSCO's Third-Party Complaint alleging a violation of the statute relies on (1) the alleged "concealment" by SEC (along with SEA, SDS and Logitech) of its disagreement with the terms of COSCO's detention, demurrage and other charges arising under certain service contracts at the time those contracts were negotiated and signed; (2) SEA's alleged disagreement with charges and requests for refunds or refusals to pay during the tenure of the service contracts (TPC ¶¶ 49-51) ; and, (3) (by way of the allegations in the Counterclaim) that SEA subsequently served a pre-litigation demand and filed a complaint with the Commission against COSCO (Counterclaim ¶ 71). In so doing, COSCO claims that SEC has violated, *inter alia*, 46 U.S.C. § 41102(a) by "inducing COSCO to enter into Service Contracts on the rates, terms, and conditions set forth therein, and to provide services thereunder, concealing their disagreement with the clear terms of the Service Contracts....Through such knowing and willful conduct, Third-Party Respondents used this unjust and unfair device or means to obtain attempt to obtain ocean transportation at less than applicable rates and terms." (TPC ¶¶ 65-66).

But COSCO has failed to plead sufficient factual allegations to support its Third-Party

(FF # 33). In any event, COSCO's recitation of its view of the terms of the alleged service contracts and the events leading to SEA's complaint in this matter has no apparent connection to the "concealment" accusations leveled at SEC.

complaint against SEC with respect to all the elements that constitute a valid 46 U.S.C. § 41102(a) claim. The Third-Party Complaint alleges only illusory speculations and conclusory statements that SEC attempted, either successfully or otherwise, to obtain ocean transportation at less than agreed rates, or that any such attempts were by any cognizably false, unjust, or unfair means, or that any such attempts were conducted knowingly and/or willfully, directly or indirectly.

COSCO now relies on unfounded and unsupported theories of conspiracy and agency to shore up its allegations, alleging that the SEC is liable because “the Samsung entities...carried out their scheme in tandem” and because each of the “Samsung entities” was acting as an agent of the others. (COSCO Opp. at 8 and 22.) At no point in the Third-Party Complaint, however, does COSCO allege facts to support this supposed conspiracy or facts supporting any kind of agency theory. *See Manchester Equip. Co., Inc. v. Am. Way and Moving Co., Inc.*, 60 F. Supp. 2d 3, 6 (E.D.N.Y. 1999)(“The law recognizes that corporations may be organized in ways to limit liability among separate corporate entities ... [A] parent company is not automatically liable for the acts of a wholly-owned subsidiary.”)(citations omitted). COSCO points to its own self-serving statement that “SEC, Samsung SDSAP, and Samsung Logitech may be referred to collectively herein as Third-Party Respondents or Samsung...” (TPC ¶ 5) and its sweeping allegations that all of the Third-Party Respondents all acted together to violate 46 U.S.C. § 41102(a), but this does not amount to alleging some sort of agency relationship between the three different companies, let alone between them and SEA. *See Karl Rove & Co., v. Thornburgh*, 39 F. 2d. 1273, 1296 (5th Cir. 1994)(“Agency is never to be presumed; it must be shown affirmatively.”).

In short, COSCO’s opposition does not do anything (and cannot do anything) to cure the deficiencies of the Third-Party Complaint; it simply repeats and expands upon conclusory allegations. “Rather the inquiry is whether the allegations in the ***Complaint*** plausibly state a claim for relief.” *Hicks v. Department of Public Safety and Corrections*, 595 F. Supp. 3d 463, 470 (M.D. La. 2022), *aff’d in part and dismissed in part on other grounds sub nom.*, *Hicks v. LeBlanc*, 81 F.4th 497 (5th Cir. 2023)(emphasis in original); *see also Hurst v. District of Columbia*, 681 F. App’x. 186, 194 (4th Cir. 2017) (“a plaintiff may not amend her complaint via briefing”). COSCO assures that all will be sorted out and made clear in discovery (COSCO Opp. at 7). COSCO overlooks the inconvenient principle that it cannot look to discovery to perfect its Third-Party Complaint. Pleading standards apply ***before*** discovery begins. “Discovery should ***follow*** the filing of a well-pleaded complaint. It is not a device to enable a plaintiff to make a case when his complaint has failed to state a claim.” *Kaylor v. Fields*, 661 F.2d 1177, 1184 (8th Cir. 1981) (emphasis added). *See also Ashcroft v. Iqbal*, 556 U.S. 662, 686 (2009)(“Because [plaintiff]’s complaint is deficient under Rule 8, [plaintiff] is not entitled to discovery, cabined or otherwise.”).

ARGUMENT

I. Introduction

COSCO is mistaken when it asserts that SEC relies exclusively on Fed. R. Civ. P. 9(b) to support its motion (COSCO Opp. 8 and 20) as COSCO has ignored multiple legal deficiencies raised in SEC’s moving brief (SEC Mot. 5-11; 18-19).

II. The Third-Party Complaint’s Allegations concerning a Shipping Act Violation are Not Plausible

SEC agrees with COSCO that the allegations in the Third-Party Complaint are to be evaluated in accordance with *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007) and *Iqbal*, *supra* (2009) and their progeny. (SEC Mot. at 6; COSCO Opp. at 9).

Despite COSCO's attempt to meet the required pleading standards, SEC submits that the Third-Party Complaint's allegations concerning SEC's purported violations of the Shipping Act fail to meet established requirements: "The pleading standard Rule 8 announces does not require 'detailed factual allegations,' but it demands more than an unadorned, the-defendant-unlawfully-harmed-me accusation." *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555). Moreover, *Iqbal* makes clear that COSCO's Third-Party Complaint – which alleges nothing more than "'labels and conclusions'" and "'naked assertion[s]' devoid of 'further factual enhancement'" – fails to state a claim under the Shipping Act. *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555, 557).

In attempting to justify a complaint that fails to offer any factual basis for the conclusory allegation of a Shipping Act violation, COSCO does not address the fundamental principle that the *Iqbal/Twombly* pleading standards "imposes legal *and* factual demands on authors of complaints." *16630 Southfield Ltd. P'ship v. Flagstar Bank, F.S.B.*, 727 F.3d 502, 503 (6th Cir. 2013)(emphasis in original). As also noted in *16630 Southfield*, the pleading requirements set out in *Iqbal* and *Twombly* "do not exist for their own sake. Discovery imposes costs – not only on defendants but also on courts and society." *Id.* at 504. As stated in *Twombly*, "'a district court must retain the power to insist upon some specificity in pleading before allowing a potentially massive factual controversy to proceed.'" 550 U.S. at 558 (quoting *Associated Gen. Contractors of Cal., Inc. v. Carpenters*, 459 U.S. 519, 528 n. 17 (1983)). The Presiding Officer should similarly act as a gatekeeper to put a stop to COSCO's improper attempt to bring SEC (as well as SDS and Logitech) into this FMC proceeding.

At the end of the day, COSCO is required "to allege facts that make its claims plausible, which necessarily requires factual allegations involving some combination of the who, what, when,

where, and how of Shipping Act violations.” *Maier Terminals*, 2015 WL 9426189 at *14. Here, COSCO offers nothing other than a freestanding and unsupported accusation that SEC (acting in concert with SDS, Logitech, and SEA) engaged in a nefarious plot to conceal their intent to later dishonor the terms of the alleged service contracts. That is it. Such unsupported allegations should not be allowed to proceed.

III. Fed. R. Civ. P. 9(b) is an Important Gatekeeper Pleading Standard When a Party Attempts to Make Sweeping Fraud Allegations

The sketchy allegations of COSCO’s Third-Party Complaint, and the claims it makes in its Opposition, sound in fraud – conspiracy, concealment, refusal to provide information, refusal to pay, refusal to accept responsibility – all in bad faith and through fraud or concealment (TPC ¶¶ 52-58, 65-67). Accordingly, SEC asserts that the Third-Party Complaint should be subject to the heightened pleading requirements of Fed. R. Civ. P. 9(b). Rule 9(b) which provides that “[i]n alleging fraud or mistake, a party must state with particularity the circumstances constituting fraud or mistake.”

In its Opposition, COSCO argues that the heightened pleading requirement of Fed. R. Civ. P. 9 (b) does not apply in FMC cases (COSCO Opp. 19-21), and states that “the Commission has expressly and repeatedly rejected application of Fed. R. Civ. 9(b) to claims under § 41102(a),” citing, *inter alia*, the Commission’s 1993 decision not to add such a requirement to its pleading rules. COSCO further asserts that this decision was recently reaffirmed by the Commission in *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and OOCL (Europe) Ltd.*, Dkt. No. 24-17 (Doc. No. 38)(ALJ Mar. 31, 2025), *aff’d in part and remanded*, (Doc. No. 66)(FMC Jul. 30, 2025).

SEC is well aware of the precedent addressing this issue and has set out in detail the reasons that the 1993 direction as well as decisions such as *Mitsui O.S.K. Lines Ltd. v. Global Link*

Logistics, Inc., Dkt. No. 09-01, 2011 WL 7144008 (FMC Aug. 1, 2011) should be reexamined (SEC Mot. at 7-11).

While SEC recognizes that the Presiding Officer is constrained by FMC precedent, it would be appropriate, just as Commissioner Khouri did in *Mitsui*, for the Presiding Officer to address the imperative need for the Commission to take a fresh look at the application of Fed. R. Civ. P. 9(b) in FMC proceedings.

IV. COSCO's Allegations Fail to Meet the Commission's General Pleading Standard

In any event, the Third-Party Complaint fails to meet the Commission's general pleading standard under Rule 62(a)(3)(iii)(46 C.F.R. § 502.62), as its allegations do not inform SEC with reasonable definiteness of the acts or practices alleged to be in violation of § 41102(a).

COSCO states in its opposition that it has adequately alleged each of the elements required by the statute. But it has not done so in its *Third-Party Complaint*. To wit: it has alleged that SEC is a person (TPC ¶ 8). It has alleged that SEC signed certain service contracts. (TPC ¶¶ 13 and 16). It has alleged what it says are the terms of those alleged service contracts insofar as terms of delivery, and liability for detention, demurrage or other costs (TPC ¶¶ 18-32). It has alleged that SEC completed COSCO's CNT application setting forth terms regarding inland transportation (TPC ¶ 35). It has alleged that "third-party respondents and SEA were aware or should have been aware" of the terms of the alleged service contracts (TPC ¶ 45). But the rest of the Third-Party Complaint concerns itself with the dispute between *SEA* and COSCO, with no allegations, as discussed more specifically below, as to how that dispute necessarily leads to the claim that SEC violated § 41102(a).

A. COSCO Does Not Allege Knowing and Willful Conduct by SEC

As noted in SEC's Motion to Dismiss, COSCO has utterly failed to properly allege Section 41102(a)'s first element—knowing and willful conduct—as against SEC (SEC Mot. at 14).

COSCO now claims that each reference to the Third-Party Respondents refers to SEC, SDS, Logitech and SEA; that each of them acted “in tandem” with the others; that each of them acted as agent for the others. (COSCO Opp. at 21). Even so, there are no factual allegations, merely conclusory statements, regarding any of the Third-Party Respondents or SEA's “knowing and willful conduct”. Labelling conduct as “knowing and willful” without some factual support does not make it so and the Presiding Officer need not accept these unsupported statements as true. *16630 Southfield Ltd. P'ship and Maher Terminals, supra.*

There are no factual allegations in the Third-Party Complaint which serve to establish SEC's state of mind or intent at the time it allegedly negotiated the service contracts. COSCO merely alleges that because SEA later disputed certain charges and refused to pay certain invoices, SEC must have (secretly) disagreed with the terms of the alleged service contracts *ab initio*. Such circular and illogical thinking has no place in a “well-plead” complaint.

B. COSCO Does Not Adequately Allege False or Fraudulent Conduct by SEC

COSCO makes the conclusory allegations that SEC as well as the other Third-Party Respondents employed an “unjust or unfair device or means.” (TPC ¶¶ 65-66.) But there is nothing in the Third-Party Complaint detailed or informative enough to state an actionable claim against SEC (let alone SEA, SDS or Logitech).

In its brief, COSCO cites *Hohenberg Brothers Co. v. FMC*, 316 F. 2d. 381 (D.C. Cir. 1963) as “on all fours” and standing for the proposition that “a party's attempts to pressure another party into granting a refund by means other than a complaint may constitute an unfair device or means

within the meaning of 46 U.S.C. § 41102(a).” (COSCO Opp. at 12.) But such a comparison is inapt. Hohenberg’s demands for refunds were part and parcel of extensive illegal conduct involving deliberately mislabeled cargo, the connivance of the shipper and attempts to hoodwink shipping inspectors, all subsequently undone by congressional investigation.

Here, it is clear that SEA and COSCO disagreed over charges assessed during the terms of the alleged service contracts. But disagreement over charges and subsequent demands for refunds or withholding of payments, are valid disputes concerning cargo services undertaken, and SEA had every right to try and reach a resolution of such disputes before filing its complaint. COSCO says SEA (and the Third-Party Respondents) failed to pay certain charges and demanded refunds of others – and from this, would ask the ALJ to infer bad faith. But, “[i]n the absence of *evidence* of bad faith or deceit, the Federal Maritime Commission will not infer an “unjust or unfair device or means’ from the failure of a shipper to pay ocean freight....[A] complaining carrier must show something more than a mere stubborn but good-faith refusal to pay a disputed rate or charge or a refusal to pay based on honest differences.” *ShipCo Transport Inc. v. Saturn Air Sea Cargo*, Dkt No. 95-07, 1995 WL 348131, *3 (ALJ Jun. 2, 1995)(citation omitted)(emphasis added).³ Merely

³ COSCO’s reliance on *Tropical Shipping & Construction Co, v. Valley Wide Produce, Inc.*, Dkt. No. 93-05, 1993 WL 285897, *1-2 (ALJ Jul. 20, 1993) is misplaced. There, the shipper ran up unpaid charges. Then, it apparently convinced the same carrier to enter into a credit agreement, promising to pay the arrears. In what should have been no surprise, the shipper reneged on its promises and failed to pay yet more charges. The shipper then failed to respond to the carrier’s FMC complaint and ignored the whole proceeding, resulting in default (which was tantamount an admission of liability). In contrast, while there is no allegation in the Third-Party Complaint concerning the subject of freight payments, given the volume of containers evidently carried by COSCO, it only seems logical to assume that substantial freight payments were made to COSCO in addition to the substantial payments for detention, demurrage and other charges paid by SEA. Also, in reviewing SEA’s Amended Complaint (Doc. No. 26) against COSCO, no freight costs are claimed as part of the reparations sought by SEA (*Id.* at ¶ 108 and Prayer for Relief (at 26)).

adding the phrase “in bad faith” to an allegation stemming from a dispute over contract terms does not make it so.

V. A Breach of Contract Claim Cannot *Ipso Facto* be Transformed into a Shipping Act Violation

As presented in its Motion to Dismiss, SEC asserts that facts alleged by COSCO concerning a breach of the alleged service contracts do not give rise to a conclusion that the alleged breaching party did not intend to perform the contract *ab initio*. (SEC Mot. at 12-14.) Yet this inference is precisely the basis of COSCO’s Shipping Act violation claims lodged against SEC (as well as SEA, SDS and Logitech).

COSCO has not directly addressed SEC’s position but instead simply cites authority for the established and undoubted principle that the Commission has authority and jurisdiction to adjudicate claims for the violation of the Shipping Act even though breach of contract claims may also be present (and subject to separate adjudication). (COSCO Opp. at 23).

It is common ground that where the factual allegations only relate to a breach of contract claim, the Commission is without subject matter jurisdiction. *See, e.g., DnB Exps. LLC v. Barson Glob. Logistik*, Dkt. No. 11-07, 2011 WL 7144017, *5 (FMC Jul. 7, 2011)(dismissing breach of contract counterclaim where complainants “d[id not allege a violation of the Shipping Act...”)). Subject matter jurisdiction is not at issue in the present matter, as COSCO has alleged an (unsupported) violation of the Shipping Act. Instead, the focus must necessarily be on what **facts** have been alleged as “[T]he Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the **facts** alleged may give rise to both breach of contract claims and Shipping Act claims.” *MCS Indus., Inc. v. COSCO Shipping Lines Co., Ltd.*, Dkt. 21-05, 2023 WL 9604492, *13 (ALJ, Jan. 13, 2023)(quoting *Anchor Shipping Co. v. Aliañq Navegãqo e Logística Ltda.*, Dkt. No. 02-04, 30 S.S.R. 991, 998 (FMC 2006))(emphasis added).

SEC respectfully submits that the only *facts* alleged by COSCO relate solely to breach of contract claims. The allegations concerning a joint effort by SEC, SEA, SDS and Logitech to “conceal” their collective intent not to perform the alleged service contracts (prior to the execution of those contracts) are but conclusory allegations. As discussed in detail in SEC’s Motion to Dismiss, factual allegations of a breach of contract cannot be used to retroactively conjure up a fraudulent intent at the time of the contract’s execution. Simply put, the Presiding Officer should reject COSCO’s desperate attempt to create from thin air a Shipping Act violation.

VI. COSCO’s Unfounded Allegation of Conspiracy

Although COSCO does not use the word in the Third-Party Complaint, COSCO now accuses SEC (as well as SEA, SDS and Logitech) of participating in a conspiracy. COSCO Opp. at 8.

However, COSCO alleges not a single *fact* to support this supposed sophisticated and wide-ranging arrangement among SEC, SDS, Logitech and SEA to violate the Shipping Act which, SEC submits, is fatal to the viability of the Third-Party Complaint.

It should be recalled that at the heart of *Twombly* was an allegation of a conspiracy in violation of the Sherman Act, 15 U.S.C. § 1. 550 U.S. at 548. In determining the plausibility of the allegations, the Supreme Court necessarily had to consider the pleadings in the context of an allegation of conspiracy: “It makes sense to say, therefore, that an allegation of parallel conduct and a bare assertion of conspiracy will not suffice. Without more, parallel conduct does not suggest conspiracy, and a conclusory allegation of agreement at some unidentified point does not supply facts adequate to show illegality.” *Id.* at 556-57. Similarly:

‘We must judge the sufficiency of the complaint by the facts alleged and not by the pleader’s conclusions....The repeated words combined, conspired, and agreed together to injure [Plaintiffs]...are insufficient.’....Moreover, Plaintiffs failed to allege any specific factual allegations about the purported conspiracy. Plaintiffs’

complaint is devoid of any *factual* allegations regarding a meeting or agreement between all Defendants.

Fox v. The City of Greensboro, 279 N.C. App. 301, 322, 866 S.E.2d 270 (N.C. Court of Appeals 2021)(quoting *Shope v. Boyer*, 268 N.C. 401, 405, 150 S.E.2d 771 (N.C. 1966))(emphasis added). While *Fox* and *Shope* were construing North Carolina law, the precepts stated apply with equal force here.

The only factual allegations made by COSCO relate to the disputes between COSCO and SEA: notwithstanding COSCO's repeated statements, there are no factual allegations supporting a legitimate claim of the existence of a conspiracy. The Presiding Officer should summarily reject COSCO's effort to conjure a conspiracy from its groundless allegations.

VII. Leave to Amend should be Denied

As a final matter, COSCO asserts that if the Presiding Officer finds its complaint to be deficient, it is "necessary" to allow COSCO an opportunity to amend its Third-Party Complaint and refers to SEA being allowed to amend its Complaint in this matter. (COSCO Opp. at 25).

COSCO is mistaken. While leave to amend pleadings may be routinely granted, it is neither "necessary" nor required. Such leave is denied particularly in cases of bad faith, or where amendment would be futile or would cause undue delay. *See, e.g., Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Dkt. No. 14-04, 2014 WL 5824274, *9 (ALJ Nov. 6, 2014)("when a complaint is dismissed for failure to state a claim, leave to amend need not be given if amendment would be futile."); *Leonelli v. Pennwalt Corp.*, 887 F.2d 1195, 1198 (2d Cir. 1989)(leave to amend "will be denied when an amendment is offered in bad faith, would cause undue delay or prejudice or would be futile.").

Concerning futility, COSCO's Third-Party Complaint against SEC, for the reasons stated above, lacks any cognizable factual or legal basis. Further, it is clear from the Opposition to the

Motion that COSCO cannot add any substance to the deficient Third-Party Complaint, merely more unsubstantiated and conclusory allegations. Since it cannot, amendment would be futile.⁴

COSCO infers that deficiencies in its pleading may be cured through discovery (*supra* at 4); clearly COSCO itself has little confidence that an amended Third-Party Complaint will cure its defects. Moreover, it is appropriate for Presiding Officer to consider whether the motivation for filing the Third-Party Complaint had another purpose, such as to seek discovery from SEC (and SEC and Logitech) as a party as opposed to needing to obtain discovery from a non-party, non-U.S. entity under the appropriate procedural devices.

Recently, allegations nearly identical in substance to COSCO's claims were dismissed as a matter of law in *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and OOCL (Europe) Ltd.*, Dkt. No. 24-17 (Doc. No. 38)(ALJ Mar. 31, 2025), *aff'd in part and remanded*, (Doc. No. 66)(FMC Jul. 30, 2025). OOCL's counterclaim, in part, was predicated on the same § 41102(a) theory posited by COSCO here. The Commission has recently affirmed the dismissal of OOCL's counterclaim against SEA, albeit the Commission has remanded the matter to allow OOCL "at least one chance to allege a plausible claim..." (Doc. 66 at 20).

In affirming the Presiding Officer's decision, the Commission also found that the allegations of deception and concealment asserted against SEA in the OOCL counterclaim were insufficient. *Id.* at 17-18. Further, the Commission was doubtful that even if OOCL made additional allegations concerning SEA's alleged concealment, such would not necessarily state a viable claim. *Id.* at 18-19.

⁴ COSCO opines that the appropriate remedy for its deficient pleading is for SEC to file a Motion for a More Definite Statement. Yet, COSCO also says that it is "not appropriate" at this stage to require more specificity, blaming the "Samsung entities" for having "obscured" their actions. (COSCO Opp. at 22, n. 15.) It would appear, then, that a Motion for a More Definite Statement would itself be futile.

COSCO seeks to distinguish the allegations in its TPC from those of OOCL because, it says, it has alleged the “Samsung entities’ “unjust and unfair” tactic of deceptively concealing their intent to “dishonor” their obligations under the Service Contracts. (COSCO Opp. at 8, n. 8.)

It doesn’t work. The unredeemable futility of COSCO’s § 41102(a) Third-Party Complaint against SEC is inescapable as a matter of law and leave to amend should be denied.

CONCLUSION

COSCO’s slapdash attempt to drag a non-FMC regulated entity, that has sought no relief itself before the FMC, should be rejected. It should be a high bar to compel SEC to litigate here and, given the failure to plead a plausible or actionable claim under the Shipping Act, the Third-Party Complaint should be dismissed. Accordingly, pursuant to Fed. R. Civ. P. 12(b)(6), 46 C.F.R. §§ 502.69 and 502.70, Third-Party Respondent SEC respectfully moves for an Order:

1. Dismissing with prejudice COSCO’s Third-Party Complaint in its entirety; and,
2. Granting SEC all such other and further relief as may be just and proper.

Dated: September 2, 2025

Respectfully submitted,

HOHENSTEIN & PARKINSON, LLP

By: /s/ James H. Hohenstein

James H. Hohenstein

385 South End Avenue, #5K

New York, NY 10280

Telephone: (917) 873-2528

jim.hohenstein@hplawnyc.com

*Counsel to Samsung Electronics Co., Ltd.,
s/h/a Samsung Electronics Company, Ltd..*

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

1. Office of the Secretary
Federal Maritime Commission
secretary@fmc.gov
2. Hon. Linda S. Harris Crovella – *Administrative Law Judge*
Federal Maritime Commission
Judges@fmc.gov
3. Holland & Knight LLP
Counsel for Complainant
 - a. Christopher R. Nolan
chris.nolan@hklaw.com
 - b. Gerald A. Morrissey III
gerald.morrissey@hklaw.com
 - c. Kristine O. Little
kristine.little@hklaw.com
 - d. Allison N. Skopec
allison.skopec@hklaw.com
4. Jeffrey/Fenneman Law + Strategy, PLLC
Counsel for Respondent and Third-Party Complainant
 - a. Eric C. Jeffrey
EJeffrey@JeffreyFenneman.com
 - b. Rebecca A. Fenneman
RFenneman@JeffreyFenneman.com
 - c. Kaya Massey
KMassey@JeffreyFenneman.com
 - d. Nicholas Webb
NWebb@JeffreyFenneman.com
5. Nixon Peabody LLP
Counsel for Respondent and Third-Party Complainant
 - a. Brian J. Whittaker
bwhittaker@nixonpeabody.com
 - b. Gordon L. Lang
glang@nixonpeabody.com
 - c. Martha A. Medina
mmedina@nixonpeabody.com

Dated: September 2, 2025

By: /s/ James H. Hohenstein

James H. Hohenstein
Hohenstein & Parkinson, LLP

*Counsel to Samsung Electronics Co., Ltd.,
s/h/a Samsung Electronics Company, Ltd..*